Dolph Research

EQUITY RESEARCH NOTE March 9, 2026

TIM S.A.

Revenue	Net Income
$4.11B	$510M
-16.2%	-12.8%

Operating Margin	Free Cash Flow
21.6%	$1.26B
9.3%	-22.9%

Executive Summary

TIMB — Current period: 2024-12-31 | Prior period: 2023-12-31

TIMB posted $4.11B in revenue (-16.2% YoY) and $510M in net income (-12.8% YoY) for 2024-12-31. Simultaneous revenue and earnings contraction underscores fundamental headwinds in the current operating environment. The profitability profile is defined by operating margin of 21.6% and net margin of 12.4%, framing the earnings quality behind the headline figures.
The balance sheet carries a moderate profile at 0.11x debt-to-equity and 0.99x current ratio, which is serviceable but leaves less margin for error under stress. The quick ratio of 0.96x confirms liquidity depth after excluding inventory from the coverage calculation.

Cash generation is anchored by $1.99B in operating cash flow (-22.1% YoY), which converts to $1.26B in free cash flow (-22.9% YoY). Capital expenditures of $736M (17.9% of revenue) show the reinvestment burden required to sustain the current operating base. The conversion of earnings into operating cash flow suggests the reported result is supported by cash generation rather than dominated by accruals.

Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$4.11B	$4.91B	-16.2%
Net Income	$510M	$585M	-12.8%
Operating Margin	21.6%	19.8%	9.3%
Debt-to-Equity	0.11x	0.14x	-20.7%
Current Ratio	0.99x	0.89x	11.5%
Free Cash Flow	$1.26B	$1.63B	-22.9%

Revenue
$4.11B

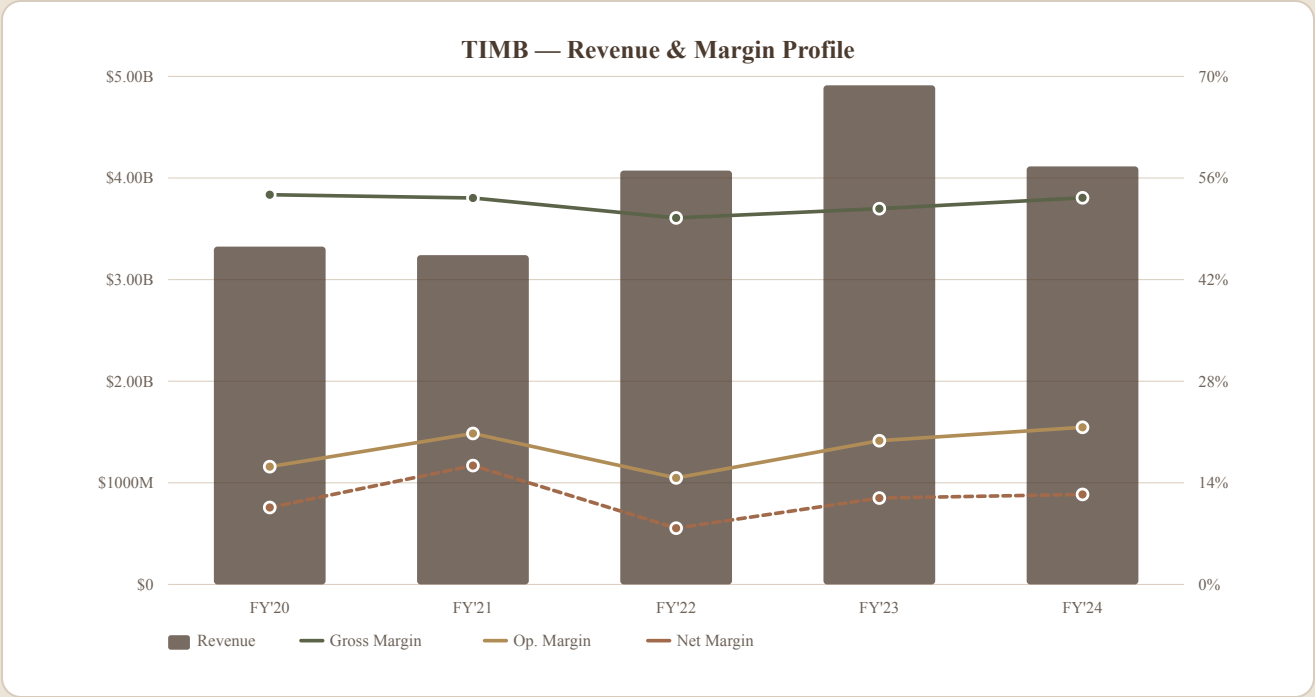
Net Income
$510M

Operating Margin
21.6%

Free Cash Flow
$1.26B

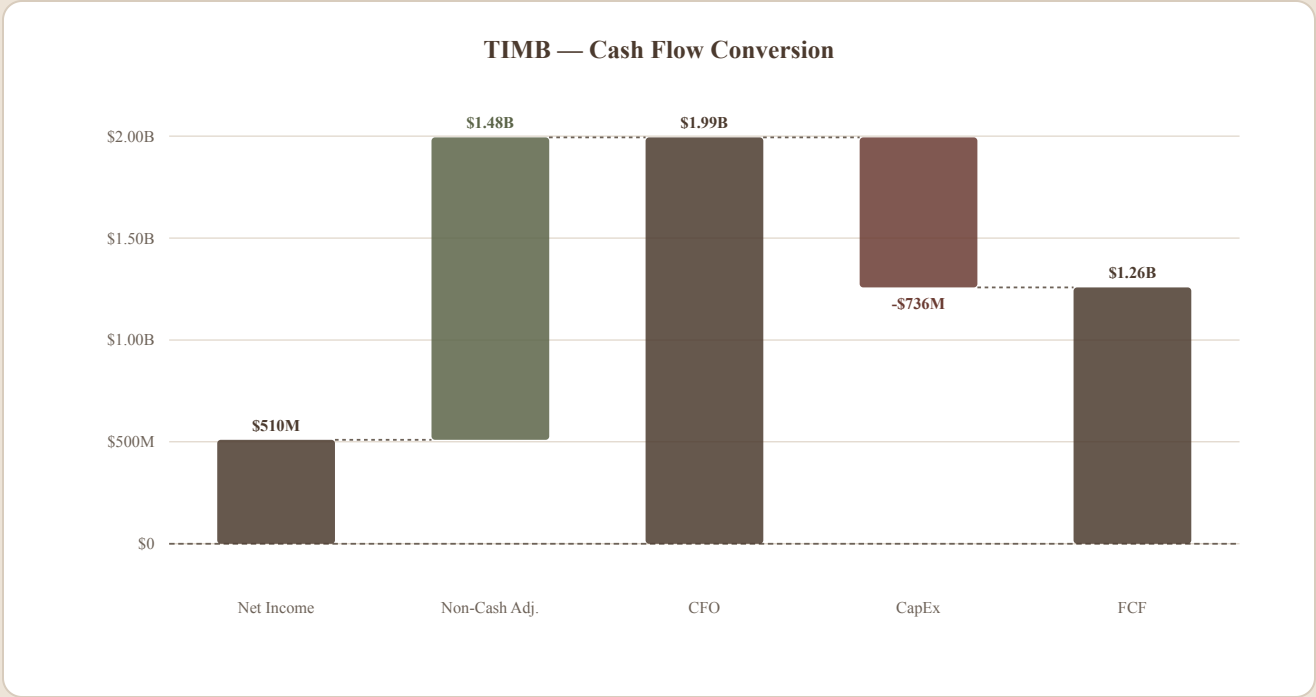
Visual Highlights

TIMB — Current period: 2024-12-31 | Prior period: 2023-12-31



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Key Metrics Dashboard

TIMB — Current period: 2024-12-31 | Prior period: 2023-12-31

Profitability

Metric	Current Value	Prior Period	Change (%)
Gross Profit	$2.19B	$2.54B	-13.8%
Return on Equity	10.6%	10.9%	-2.9%
Return on Assets	5.0%	5.1%	-3.1%
Gross Margin	53.3%	51.8%	2.9%
Operating Margin	21.6%	19.8%	9.3%
Net Margin	12.4%	11.9%	4.1%
Earnings Per Share (Diluted)	Unavailable	Unavailable	Unavailable

Liquidity & Leverage (1/2)

Metric	Current Value	Prior Period	Change (%)
Current Assets	$2.05B	$2.35B	-12.9%
Current Liabilities	$2.07B	$2.66B	-21.9%
Cash & Equivalents	$527M	$634M	-16.9%
Cash, Cash Equivalents & Restricted Cash	Unavailable	Unavailable	Unavailable
Restricted Cash	Unavailable	Unavailable	Unavailable
Cash, Cash Equivalents & Short-Term Investments	Unavailable	Unavailable	Unavailable
Short-Term Investments	Unavailable	Unavailable	Unavailable

Liquidity & Leverage (2/2)

Metric	Current Value	Prior Period	Change (%)
Marketable Securities	Unavailable	Unavailable	Unavailable
Long-Term Debt	Unavailable	Unavailable	Unavailable
Short-Term Debt	$56M	$261M	-78.4%
Total Debt	$491M	$777M	-36.8%
Current Ratio	0.99x	0.89x	11.5%
Debt-to-Equity	0.11x	0.14x	-20.7%

Key Metrics Dashboard (Cont.)

TIMB — Current period: 2024-12-31 | Prior period: 2023-12-31

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$4.11B	$4.91B	-16.2%
Gross Profit	$2.19B	$2.54B	-13.8%
Operating Income	$890M	$972M	-8.4%
Net Income	$510M	$585M	-12.8%
Total Assets	$9.11B	$11.4B	-20.0%
Total Liabilities	$4.84B	$6.03B	-19.7%
Stockholders' Equity	$4.27B	$5.36B	-20.4%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$1.99B	$2.56B	-22.1%
Cash at End of Period (cash-flow statement)	$527M	$634M	-16.9%
Capital Expenditures	-$736M	-$928M	-20.7%
Free Cash Flow	$1.26B	$1.63B	-22.9%

Commentary

TIMB — Current period: 2024-12-31 | Prior period: 2023-12-31

What stands out

- Operating Income is currently $890M with 6.1% CAGR. Operating Income has grown at a 6.1% CAGR.
- Capital Expenditures is currently $736M with -4.8% CAGR. Capital Expenditures has declined at a -4.8% CAGR.
- Net Income is currently $510M with -4.1% CAGR. Net Income has declined at a -4.1% CAGR.

Watch items

- The following governed risk signals are active in the locked annual basis.
- **Declining revenue:** Revenue declined 16.2% versus prior year.

Analyst interpretation

- Gross margin of 53.3% indicates strong pricing power.
- Revenue declined 16.2% versus prior year.
- Current ratio is 0.99x, below 1.0x.

Appendix

TIMB — Current period: 2024-12-31 | Prior period: 2023-12-31

Appendix A — TIMB Income Statement

Metric	FY2024	FY2023
Revenue	$4.11B	$4.91B
Cost of Revenue	$1.92B	$2.37B
Gross Profit	$2.19B	$2.54B
Operating Expenses	$291M	$363M
Operating Income	$890M	$972M
Net Income	$510M	$585M
Weighted Avg Shares (Diluted)	2.4B	2.4B
SG&A Expenses	$955M	$1.18B
Pretax Income	-$586M	-$656M
Income Tax Expense	$76M	$71M

Appendix B — TIMB Balance Sheet

Metric	FY2024	FY2023
Total Assets	$9.11B	$11.4B
Total Liabilities	$4.84B	$6.03B
Total Stockholders' Equity	$4.27B	$5.36B
Current Assets	$2.05B	$2.35B
Current Liabilities	$2.07B	$2.66B
Cash & Equivalents	$527M	$634M
Total Debt	$491M	$777M
Short-Term Debt	$56M	$261M
Inventory	$47M	$68M
Accounts Receivable	$756M	$765M
Other Current Assets	$34M	$49M
Other Current Liabilities	$16M	$25M
Retained Earnings	$2.03B	$2.51B
Treasury Stock	-$558K	-$615K

Appendix (Cont.)

TIMB — Current period: 2024-12-31 | Prior period: 2023-12-31

Appendix C — TIMB Cash Flow Statement

Metric	FY2024	FY2023
Operating Cash Flow	$1.99B	$2.56B
Capital Expenditures	-$736M	-$928M
Investing Cash Flow	-$801M	-$965M
Financing Cash Flow	-$1.16B	-$1.49B
Dividends Paid	-$440M	-$448M
Depreciation & Amortization	$1.14B	$1.47B
Net Change in Cash	$29M	$109M
Cash at End of Period (cash-flow statement)	$527M	$634M

Data Sources & Notes

Ticker	CIK	Accession	Form	Filed	Primary Document
TIMB	0001826168	0001292814-25-001263	20-F	2025-04-01	https://www.sec.gov/Archives/edgar/data/1826168/000129281425001263/timbform20f_2024.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Standalone metrics are locked to the selected annual current/prior basis for the issuer.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-09.

Disclaimer: For research use only; not investment advice.